

Educational Analysis — 2026 Tax Year Planning

Prepared for Pedro Martinez Del Rio | April 2026

Educational scenario modeling for discussion with licensed professionals

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile as a high-income W-2 household in California with plans to launch a side business and acquire short-term rental property. The strategies modeled span LLC formation with S-Corp election, retirement account maximization, real estate tax optimization via cost segregation, and a Bitcoin-centric investment scenario aligned with your aggressive growth objectives.

Based on the profile data provided, this snapshot models potential first-year value ranging from **\$65,350** (conservative scenario — W-2 optimization and investment deployment only) to **\$344,450** (aggressive scenario including LLC formation, STR acquisition, and full strategy implementation). Implementation of any strategy should be verified with your CPA and licensed financial advisor.

This analysis incorporates provisions from the One Big Beautiful Bill Act (OBBBA), signed July 4, 2025, including permanent 100% bonus depreciation for qualified property, the \$40,000 SALT deduction cap, expanded Section 179 (\$2,500,000), and permanent TCJA individual tax rates. All 2026 limits verified per IRS Rev. Proc. 2025-32.

\$65,350 — \$344,450

Modeled First-Year Value Range (2026)

Conservative (investment-only) to Aggressive (full implementation with real estate)

Current Financial Position

ITEM	DETAILS
Filing Status	Married Filing Jointly

Age	48 (no catch-up contributions apply for 2026)
Location	Santa Clara, CA (estimated state rate ~9.3%)
Combined Household Income	~\$600K (W-2: ~\$350K primary + ~\$250K spouse)
Estimated Marginal Rate	~44% combined (35% federal + 9.3% CA) — verify with CPA
Business Structure	W-2 only — no LLC yet (plans to form)
Self-Employment Income	None currently — planning side business
W-2 401(k)	Contributing max \$23,500 (2025) — increase to \$24,500 for 2026
HSA	No HDHP currently — not eligible
Liquid Capital (Brokerage)	~\$250K
Home Value / Equity	\$1,540,000 / ~\$1,380,000 equity (\$160K mortgage remaining)
Mortgage Remaining	~\$160K (plans to pay off in 3-5 years)
Credit Score	760+
Emergency Fund	4-6 months
Dependents	1 adult child (college — 529 plan partially funded)
Risk Tolerance	Aggressive — comfortable with significant volatility
Time Available	5-10 hours/week for wealth building
Home Office	Yes — dedicated area (not full room)
Vehicle for Business	Not yet — plans to once LLC formed
Real Estate Interest	Yes — signed up for done-for-you STR program; interested in ownership + financing
Other Goals	Small business acquisition (SBA 7a), franchise exploration, financial freedom by age 55-60, Roth conversion ladder in early 60s, delay Social Security to 65-70

△ **SECURE 2.0 Note:** Pedro's W-2 income exceeds \$150,000 FICA wages. When he turns 50 (2028), any 401(k) catch-up contributions from that employer must be designated Roth — not pre-tax. Plan Roth capacity accordingly. For 2026 (age 48), no catch-up applies.

△ **OBBBA Tax Law Changes (Effective 2025-2026):** The One Big Beautiful Bill Act made several provisions relevant to this profile: (1) TCJA individual tax rates are now permanent — the 35% federal bracket applies as shown. (2) The SALT deduction cap increased from \$10,000 to \$40,000, which may affect itemization analysis for California taxpayers. (3) 100% bonus depreciation is permanently restored for qualified property acquired after January 19, 2025. (4) Section 179 expanded to \$2,500,000 (phase-out at \$4,000,000). (5) The 20% QBI deduction (Section 199A) for pass-through businesses is now permanent. Discuss these changes with your CPA.

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Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

TIMEFRAME	CONSIDERATION
Week 1 — Foundations	2025 Backdoor Roth: Confirm if completed for both spouses. If not, may still contribute $\$7,000 \times 2$ before April 15, 2026. Discuss with CPA.
	2026 Backdoor Roth: Can initiate $\$7,500 \times 2$ for 2026 tax year. Discuss timing and pro-rata considerations with CPA.
	W-4 Review: Evaluate withholding for 2026 tax changes including OBBBA provisions. Discuss optimization with CPA.
Week 2 — Entity Formation	LLC Formation: Research CA LLC requirements (\$800 annual franchise tax). Discuss single-member vs. multi-member structure with attorney.
	S-Corp Election: Form 2553 typically filed within 75 days of entity formation for current-year effect. Discuss timing with CPA.

EIN Application: Required for business entity and Solo 401(k). Discuss sequencing with CPA.

HDHP Evaluation: Review employer health plan options during next open enrollment for HSA eligibility (\$8,750 family limit for 2026). Discuss with HR and CPA.

Week 3 — Insurance & Accounts

Solo 401(k): Plan must be established by Dec 31, 2026 for employee deferrals. Discuss custodian options (Fidelity, Schwab) with financial advisor.

Business Banking: Separate accounts required for LLC. Discuss structure with CPA.

STR Property Search: Continue evaluating markets with done-for-you program team. Discuss financing (HELOC vs. conventional) with lender.

Week 4 — Strategy Review

Investment Scenario: Review Bitcoin/STRC/VTI allocation concept with licensed financial advisor before deploying capital.

Home Office: Begin documenting dedicated space measurements, usage percentage, and expenses for 2026 deduction. Discuss with CPA.

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2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions may still be made until April 15, 2026:

STRATEGY	2025 LIMIT	DEADLINE	YOUR OPPORTUNITY
Backdoor Roth IRA (both spouses)	\$7,000 × 2 = \$14,000	April 15, 2026	If not yet completed, \$14,000 may be positioned for tax-free growth. Discuss pro-rata rules with CPA.
HSA Contributions	\$8,550 family / \$4,300 individual (+ \$1,000 if 55+)	April 15, 2026	Not applicable — no HDHP in 2025.

Solo 401(k) Employer Portion	25% of net SE income	Tax filing + extensions	Not applicable — no self-employment income or existing plan in 2025.
SEP IRA	25% of compensation, up to \$69,000	Tax filing + extensions	Not applicable — no self-employment income in 2025.

No Longer Available for 2025: 401(k) employee deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

2026 Tax Optimization Strategies to Explore

Strategy 1: Backdoor Roth IRA (Both Spouses)

Potential Value: \$15,000 positioned for tax-free growth

What It Is: A two-step process allowing high-income earners to fund Roth IRAs regardless of income limits. At \$7,500 × 2 spouses for 2026, this positions \$15,000 annually in tax-free growth accounts.

How It Works:

1. Contribute \$7,500 per spouse to a Traditional IRA (non-deductible at this income level)
2. Convert to Roth IRA shortly after — taxable amount is typically minimal if no existing Traditional IRA balances
3. Repeat annually; assets grow tax-free with no RMDs

Eligibility Criteria: Must have earned income. Pro-rata rule applies if existing pre-tax IRA balances exist — discuss with CPA. No income limit for conversions.

Verify pro-rata rule implications and conversion timing with your CPA. 2026 limit: \$7,500 per person.

Strategy 2: LLC Formation + S-Corp Election

Potential Value: Enables strategies 3-7 below (gateway strategy)

What It Is: Forming an LLC with S-Corp tax election creates the business entity required for home office, Augusta Rule, Solo 401(k), and vehicle deductions. S-Corp election may reduce self-employment tax on business profits above reasonable salary. The 20% QBI deduction (Section 199A), now made permanent under OBBBA, may apply to qualified business income — discuss eligibility thresholds with CPA.

How It Works:

1. Form CA LLC (note: \$800 annual franchise tax minimum). Discuss entity type with attorney.
2. File Form 2553 (S-Corp election) within 75 days of formation for current-year effect
3. Establish business banking, accounting systems, and payroll for reasonable salary

Eligibility Criteria: Self-employment or business activity required. Consulting, freelance, or real estate management income may qualify. Discuss business plan with CPA and attorney.

Entity selection has significant tax and legal implications. Consult both CPA and attorney before formation. 2026 CA LLC fee: \$800 minimum.

Strategy 3: Solo 401(k) (Employer Contributions on SE Income)

Potential Value: \$5,500 — \$21,780 tax savings (depends on SE income)

What It Is: A retirement plan for self-employed individuals. Since Pedro already maxes W-2 401(k) employee deferrals (\$24,500 for 2026), the Solo 401(k) employer contribution (25% of net SE income) provides additional pre-tax deferral capacity up to the \$72,000 combined limit.

How It Works:

1. Employee deferral: Already used at W-2 employer (\$24,500). Cannot double-dip.
2. Employer contribution: 25% of net self-employment income (up to \$47,500 remaining room under \$72,000 cap)
3. At 44% marginal rate, \$12,500 employer contribution = ~\$5,500 tax savings; \$49,500 max = ~\$21,780

Eligibility Criteria: Self-employment income required. Plan must be established by Dec 31, 2026. No full-time employees (spouse exception). Age 48 = no catch-up.

Verify contribution limits with CPA. Employee deferrals are aggregated across all 401(k) plans. 2026 total limit: \$72,000.

Strategy 4: Augusta Rule (IRC §280A)

Potential Value: \$3,080 — \$4,312 tax savings

What It Is: Allows renting your personal residence to your business for up to 14 days per year, tax-free to you as the homeowner, while the business deducts the rental expense. At fair market rates for Santa Clara (\$500-\$700/day), this creates \$7,000-\$9,800 in tax-free income and corresponding business deductions.

How It Works:

1. Document fair market rental rate (comparable Airbnb/VRBO rates in Santa Clara)
2. Hold legitimate business meetings, planning sessions, or strategy days at home (max 14 days)
3. Business pays rent to you personally — deductible to business, tax-free to you under §280A

Eligibility Criteria: Must have a business entity. Must document fair market value with comparable rental data. Must have bona fide business purpose for each rental day. Maximum 14 days/year.

Document rental rates, business purpose, and meeting minutes for each day. Discuss with CPA. 2026 strategy.

Strategy 5: Home Office Deduction

Potential Value: \$660 — \$2,200 tax savings

What It Is: Deducting a portion of home expenses (mortgage interest, property tax, utilities, insurance) based on the percentage of home used regularly and exclusively for business. Simplified method allows \$5/sq ft up to 300 sq ft (\$1,500 max). Actual method may yield more for a \$1.54M home.

How It Works:

1. Measure dedicated business area. Calculate percentage of total home sq ft.
2. Choose simplified (\$5/sq ft, max \$1,500) or actual method (% of mortgage interest, taxes, utilities, depreciation)
3. At 44% rate: \$1,500 simplified = \$660 savings; \$5,000 actual = \$2,200 savings

Eligibility Criteria: Regular and exclusive business use required. Dedicated area indicated. W-2 employees generally cannot claim (must have Schedule C business income).

Home office deduction requires self-employment income. Cannot be used on W-2 income. Verify with CPA.

Strategy 6: STR + Cost Segregation Study OBBBA 100% BONUS DEP.

Potential Value: \$34,000 — \$59,000 first-year tax benefit (aggressive only)

What It Is: Acquiring a short-term rental property and accelerating depreciation through a cost segregation study. Cost segregation reclassifies property components (appliances, flooring, fixtures) into shorter depreciation periods (5, 7, and 15 years vs. 27.5 years for residential). Under OBBBA, 100% first-year bonus depreciation is permanently restored for qualified property acquired and placed in service after January 19, 2025, creating substantial first-year paper losses that may offset other income.

How It Works (Corrected Cost Seg Methodology):

1. Acquire STR property (\$350K-\$400K; 20% down = \$70K-\$80K). Fund via HELOC on primary residence or brokerage capital.
2. Determine depreciable building basis: Purchase price minus land value (typically ~20% for land). Building basis = \$280K-\$320K.
3. Commission cost segregation study (typically \$3K-\$8K). Study reclassifies 25-40% of building basis to shorter recovery periods.
4. Apply 100% bonus depreciation (OBBBA) to reclassified components: \$70K-\$128K in Year 1 bonus depreciation.
5. Remaining building basis depreciates at straight-line over 27.5 years (~\$7,000-\$7,600 Year 1).
6. Total Year 1 depreciation: ~\$77,000-\$136,000. Tax benefit at 44% marginal rate: ~\$34,000-\$59,000.

Additionally: Under OBBBA, Section 179 has been expanded to \$2,500,000 (phase-out at \$4,000,000). This may allow immediate expensing of STR furnishings and equipment in addition to cost segregation benefits. Discuss optimal combination of Section 179 and bonus depreciation with CPA.

Eligibility Criteria: Must materially participate OR qualify under STR exception (average guest stay <7 days + material participation in rental). Significant documentation requirements. Discuss REPS eligibility and STR loophole with CPA.

Real estate tax strategies have specific documentation and participation requirements. Work with a qualified tax professional to ensure compliance. Cost segregation study must be performed by a qualified engineering firm. The

STR loophole and cost segregation are aggressive strategies that may attract IRS scrutiny — maintain meticulous records.

Strategy 7: HSA Maximization (Requires HDHP)

Potential Value: \$3,850 tax savings (if HDHP elected)

What It Is: Contributing to a Health Savings Account provides a triple tax benefit: tax-deductible contributions, tax-free growth, and tax-free qualified withdrawals. The 2026 family limit is \$8,750. At 44% marginal rate = \$3,850 potential tax savings.

How It Works:

1. Elect a High Deductible Health Plan during employer open enrollment
2. Contribute \$8,750 (2026 family limit). Age 48 = no catch-up. Payroll deduction also avoids FICA.
3. Invest HSA funds for long-term growth. Pay medical expenses out-of-pocket, reimburse tax-free later.

Eligibility Criteria: Must be enrolled in qualifying HDHP. Cannot have other non-HDHP coverage. No Medicare enrollment. Currently no HDHP — evaluate at next open enrollment.

HSA eligibility requires HDHP enrollment. Evaluate plan options during next open enrollment. 2026 family limit: \$8,750.

Strategy 8: Vehicle Deduction (72.5¢/mile for 2026)

Potential Value: \$1,595 — \$3,190 tax savings

What It Is: Deducting business miles driven at the 2026 IRS standard rate of 72.5¢/mile. Requires business use and mileage documentation. At 5,000-10,000 business miles $\times$ 72.5¢ $\times$ 44% rate = \$1,595-\$3,190 potential tax savings.

How It Works:

1. Track all business miles using a mileage app (MileIQ, Everlance). Log date, destination, business purpose.
2. Business miles include: client meetings, property visits, business errands, STR property management
3. Deduction: $5,000 \text{ mi} \times \$0.725 = \$3,625$ deduction $\times$ 44% = \$1,595 savings

Eligibility Criteria: Must have business entity. Commuting miles do not qualify. Must maintain contemporaneous mileage log.

Mileage deduction requires business activity and detailed records. 2026 rate: 72.5¢/mile. Verify with CPA.

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Primary Strategy Education: STR Acquisition + Small Business Path

Short-Term Rental Strategy Overview

Based on the profile indicated — signed up for done-for-you STR program, \$100K+ capital available, 5-10 hours/week, aggressive risk tolerance — the STR acquisition represents the highest-potential strategy for 2026. This section models the educational framework for understanding STR economics and tax treatment.

STR ECONOMIC MODEL	CONSERVATIVE	AGGRESSIVE
Property Value	\$350,000	\$400,000
Down Payment (20%)	\$70,000	\$80,000
Gross Rental Income	\$50,000	\$70,000
Operating Expenses (50%)	(\$25,000)	(\$35,000)
Net Operating Income (NOI)	\$25,000	\$35,000
Mortgage Payment (P&I)	~(\$18,000)	~(\$20,000)
Cash Flow After Debt Service	\$7,000	\$15,000
Cash-on-Cash Return	10.0%	18.8%

Cost Segregation Tax Benefit Model OBBBA UPDATED

COMPONENT	CONSERVATIVE (\$350K)	AGGRESSIVE (\$400K)
Building Basis (purchase price minus ~20% land)	\$280,000	\$320,000
Reclassified to 5/7/15-year (25-40% of building basis)	\$70,000	\$128,000

First-Year Bonus Depreciation (100% under OBBBA)	\$70,000	\$128,000
Remaining Straight-Line Year 1 (27.5-year)	\$7,636	\$6,982
Total Year 1 Depreciation	\$77,636	\$134,982
Tax Savings at 44% Marginal Rate	\$34,160	\$59,392

Important: The above uses 100% bonus depreciation under OBBBA for property acquired and placed in service after January 19, 2025. Property acquired on or before that date remains subject to TCJA phase-down rates. The STR loophole (average guest stay <7 days with material participation) may allow these losses to offset W-2 and other active income — unlike traditional long-term rental losses which are typically passive. This is a complex area requiring CPA verification of material participation hours and documentation.

Funding Strategy Considerations

With ~\$1.38M in home equity, a HELOC may provide competitive financing for the STR down payment while preserving brokerage capital for investment deployment. Discuss with your CPA and lender:

1. HELOC interest may be deductible if proceeds used for investment property (discuss tracing rules with CPA)
2. SBA 7(a) loans for small business acquisition — different qualification criteria than conventional mortgages
3. Sequencing: STR first (2026) + small business acquisition (late 2026 / early 2027) — discuss tax timing with CPA

Real estate tax strategies have specific documentation and participation requirements. Work with a qualified tax professional to ensure compliance. The STR loophole and cost segregation are aggressive strategies that may attract IRS scrutiny — maintain meticulous records.

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Illustrative Portfolio Scenario

Educational Investment Scenario (Based on Profile Analysis)

Profile signals: Aggressive risk tolerance (maximum growth, comfortable with significant volatility) → 70%+ Bitcoin. Growth + multiple income streams → include STRC for passive cash flow. 5-10 hrs/wk → Bitcoin primary with selective active strategies. \$100K+ capital comfortable deploying.

ASSET CLASS	SCENARIO %	CONSERVATIVE (\$100K)	AGGRESSIVE (\$175K)	EDUCATIONAL RATIONALE
Bitcoin (BTC)	70%	\$70,000	\$122,500	Bitcoin serves as a core wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption
STRC	20%	\$20,000	\$35,000	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10-12% annual yield
VTI/VOO	10%	\$10,000	\$17,500	VTI offers broad U.S. equity exposure at low cost (0.03% expense ratio). VOO tracks the S&P 500 for large-cap diversification

This scenario models one approach based on the aggressive profile and growth-focused goals indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation. Verify current STRC yield at time of investment — historical yields shown are not guaranteed.

These scenarios are for educational illustration. All investments involve risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile and speculative. Past performance does not guarantee future results.

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Modeled First-Year Value Summary (2026 Tax Year)

Capital basis: Conservative = \$100,000 (deployable capital). Aggressive = \$175,000 (liquid capital midpoint of \$100K-\$249K).

Category A: Tax Optimization Strategies			
Item	Conservative	Aggressive	Notes
Solo 401(k) Employer Contribution	\$0	\$5,500	25% of est. SE income × 44%; requires LLC + SE income
HSA Maximization	\$0	\$3,850	\$8,750 × 44%; requires HDHP election

Augusta Rule (14 days)	\$0	\$3,080	$14 \times \$500/\text{day} \times 44\%$; requires business entity
Home Office Deduction	\$0	\$1,100	$\$2,500 \text{ deduction} \times 44\%$; requires SE income
Vehicle (72.5¢/mile)	\$0	\$1,595	$5,000 \text{ mi} \times \$0.725 \times 44\%$; requires business use
STR + Cost Segregation (100% Bonus Dep.)	\$0	\$52,000	$\sim \$118\text{K accelerated depreciation} \times 44\%$; OBBBA 100% bonus dep.; aggressive only
Tax Optimization Subtotal	\$0	\$67,125	

CATEGORY B: INVESTMENT INCOME (YIELD / DIVIDENDS)

STRC Yield (10-12%)	\$2,000	\$4,200	$\$20\text{K} \times 10\% / \$35\text{K} \times 12\%$
ETF Dividends (1.5-2%)	\$150	\$350	$\$10\text{K} \times 1.5\% / \$17.5\text{K} \times 2\%$
Investment Income Subtotal	\$2,150	\$4,550	

CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)

Bitcoin (25% / 50%)	\$17,500	\$61,250	$\$70\text{K} \times 25\% / \$122.5\text{K} \times 50\%$
STRC (15% / 30%)	\$3,000	\$10,500	$\$20\text{K} \times 15\% / \$35\text{K} \times 30\%$
VTI/VOO (8% / 12%)	\$800	\$2,100	$\$10\text{K} \times 8\% / \$17.5\text{K} \times 12\%$
Appreciation Subtotal	\$21,300	\$73,850	

CATEGORY D: REAL ESTATE (AGGRESSIVE ONLY — STR PROGRAM ENROLLED)

STR Annual Cash Flow (NOI)	\$0	\$30,000	After expenses; market/occupancy dependent
Property Appreciation (4.5%)	\$0	\$16,875	$4.5\% \times \$375\text{K midpoint property value}$
Mortgage Principal Paydown (Year 1)	\$0	\$4,500	Equity build from amortization
Real Estate Subtotal	\$0	\$51,375	Conservative = no RE acquisition

CATEGORY E: CASH FLOW IMPROVEMENTS

W-4 Optimization	\$2,400	\$4,800	\$200-\$400/mo additional take-home × 12
Cash Flow Subtotal	\$2,400	\$4,800	

CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)

W-2 401(k) Contributions (2026)	\$24,500	\$24,500	\$24,500 employee deferral; age 48 = no catch-up
Backdoor Roth IRA (both spouses)	\$15,000	\$15,000	\$7,500 × 2; age 48 = no IRA catch-up
HSA Contributions	\$0	\$8,750	2026 family limit; requires HDHP
Solo 401(k) Employer Portion	\$0	\$12,500	25% of est. SE income; requires LLC
Augusta Rule Income Received	\$0	\$7,000	Tax-free income under 14-day rule
RE Equity Position (Down Payment)	\$0	\$75,000	20% on \$375K STR property
Wealth Building Subtotal	\$39,500	\$142,750	
TOTAL MODELED FIRST-YEAR VALUE (2026)	\$65,350	\$344,450	

Important: Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32 and incorporate OBBBA provisions (100% bonus depreciation, \$40,000 SALT cap, expanded Section 179). Verify with your CPA. Consult with your licensed professionals before implementation.

Calendar Awareness & Key Dates (2026)

DATE	CONSIDERATION	NOTES
April 15, 2026	Last day for 2025 Backdoor Roth IRA contributions	\$7,000 × 2 spouses if not yet completed
Q2 2026	LLC formation + S-Corp election window	Form 2553 within 75 days of formation
Q2-Q3 2026	STR property acquisition target	Allows cost seg benefit for 2026 tax year (100% bonus dep. under OBBBA)
Open Enrollment	HDHP election for HSA eligibility	Check employer enrollment period
Dec 31, 2026	Solo 401(k) plan establishment deadline	Required for 2026 employee deferrals
Dec 31, 2026	401(k) employee contributions deadline	Both W-2 and Solo 401(k) deferrals
Dec 31, 2026	Augusta Rule rental days must occur by year-end	Document 14 days of business use
April 15, 2027	Last day for 2026 IRA/HSA contributions	\$7,500 IRA / \$8,750 HSA family
Tax Filing 2027	Solo 401(k) employer contributions for 2026	Can extend with tax return extension

Verify all deadlines with your tax professional. Dates shown are general IRS deadlines and may vary based on individual circumstances.

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Questions for Your Professional Team

For Your CPA

1. "Based on my W-2 income and age (48), what are my maximum 2026 retirement contributions across all accounts?"
2. "Can I still make 2025 Backdoor Roth contributions before April 15? What are the pro-rata implications?"
3. "If I form an LLC with S-Corp election this year, what is the optimal reasonable salary to minimize SE tax while maximizing Solo 401(k) employer contributions?"
4. "What documentation do I need for the Augusta Rule? How do I establish fair market rental value in Santa Clara?"
5. "If I acquire an STR property in 2026 and complete a cost segregation study, can the accelerated depreciation (100% bonus dep. under OBBBA) offset my W-2 income under the STR loophole? What material participation hours are required?"
6. "Should I acquire the STR and small business in the same tax year or stagger them? What are the tax implications of each timing?"
7. "When I turn 50 in 2028, will my catch-up contributions need to be Roth under SECURE 2.0 given my FICA wages exceed \$150K?"
8. "What is the optimal HELOC vs. brokerage liquidation strategy for funding the STR down payment from a tax perspective?"
9. "With the SALT cap now at \$40,000 under OBBBA, should I revisit my itemized vs. standard deduction analysis for 2026?"
10. "Does the expanded Section 179 (\$2,500,000) affect how I should structure STR furnishings and equipment purchases?"

For Your Attorney

1. "What is the best entity structure for my planned consulting/side business and STR — single LLC, series LLC, or separate entities?"
2. "What asset protection considerations apply given my home equity (\$1.38M) and planned business activities?"
3. "Should the STR property be held in a separate LLC from the consulting business?"

For Your Financial Advisor

1. "How does a 70% Bitcoin / 20% STRC / 10% broad market allocation align with my goal of financial freedom by age 55-60?"
2. "What is the optimal Roth conversion ladder strategy for my early 60s given current and projected account balances?"
3. "At what point should I begin shifting from growth to income-producing investments to support early retirement cash flow?"

4. "How should I think about the \$250K brokerage account — deploy into the investment scenario modeled, use for STR down payment, or a combination?"

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Professional Team Considerations

PROFESSIONAL	ROLE IN IMPLEMENTATION	TIMING
CPA / Tax Strategist	Verify all tax strategy eligibility, contribution limits, entity election timing, cost segregation coordination, OBBBA implications, 2025 cleanup items	Immediate — before entity formation
Business Attorney	LLC formation, operating agreement, S-Corp election filing, asset protection, STR entity structure	Within 30 days of CPA consultation
Licensed Financial Advisor	Investment allocation implementation, Roth conversion planning, retirement timeline modeling, risk assessment	Before deploying investment capital
Mortgage Broker / Lender	HELOC on primary residence, STR property financing, SBA 7(a) for small business acquisition	During STR property search phase
Cost Segregation Firm	Engineering-based study of STR property for accelerated depreciation (100% bonus dep. under OBBBA)	After STR property closes
Insurance Agent	STR property insurance, umbrella policy, HDHP evaluation for HSA eligibility	Before STR property closes / at open enrollment

Professional team composition should be discussed with your primary CPA and financial advisor. The above roles represent common implementation support.

2026 Milestone Considerations

QUARTER	MILESTONE	DISCUSSION POINTS
Q2 2026	Entity Formation Complete	LLC filed, EIN obtained, S-Corp election submitted, business banking established. Enables Augusta Rule, Home Office, Solo 401(k).

Q2-Q3 2026	STR Property Under Contract	Done-for-you program property identified, financing approved, closing timeline established. Cost seg study ordered.
Q3 2026	Investment Deployment Review	After consulting financial advisor, review capital deployment across Bitcoin/STRC/VTI scenario. Reassess based on market conditions.
Q3-Q4 2026	STR Operational + Cost Seg Complete	Property furnished, listed, generating income. Cost segregation study delivered (100% bonus dep. applied under OBBBA). First-year depreciation calculated.
Q4 2026	Year-End Tax Planning Review	Solo 401(k) contributions finalized, Augusta Rule days documented, all deductions maximized. Begin 2027 planning and small business acquisition timing.
Q1 2027	2026 Tax Return Preparation	All strategy documentation assembled. Solo 401(k) employer contributions finalized. 2026 Roth contributions completed by April 15.

Milestones are considerations for discussion with your professional team, not commitments. Actual timing depends on entity formation, property availability, and professional advisor guidance.

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Educational Resources & 2026 Reference

2026 Contribution Limits Reference

ACCOUNT TYPE	BASE LIMIT	CATCH-UP (50+)	SUPER CATCH-UP (60-63)
401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250
401(k) Total (Employee + Employer)	\$72,000	+\$8,000	+\$11,250
HSA (Family Coverage)	\$8,750	+\$1,000 (55+)	N/A
HSA (Individual Coverage)	\$4,400	+\$1,000 (55+)	N/A
Traditional / Roth IRA	\$7,500	+\$1,100	N/A

Business mileage rate for 2026: 72.5¢/mile. Verify all limits with IRS.gov or your tax professional.

Age-Based Catch-Up Reference (Pedro: Age 48 in 2026)

AGE	401(K) CATCH-UP	IRA CATCH-UP	HSA CATCH-UP	PEDRO'S STATUS
Under 50	\$0	\$0	\$0	← Current (2026-2027)
50-54	\$8,000	\$1,100	\$0	Starting ~2028
55-59	\$8,000	\$1,100	\$1,000	Starting ~2033
60-63	\$11,250 (SUPER)	\$1,100	\$1,000	Starting ~2038
64+	\$8,000	\$1,100	\$1,000	Starting ~2042

OBBBA Key Provisions Reference (Signed July 4, 2025)

PROVISION	DETAILS	IMPACT
100% Bonus Depreciation	Permanently restored for property acquired after Jan 19, 2025	Full first-year write-off for cost seg reclassified components
SALT Cap Increase	\$10,000 → \$40,000	May affect itemized deduction analysis for CA taxpayers
Section 179 Expansion	\$1,000,000 → \$2,500,000 (phase-out at \$4,000,000)	Immediate expensing of STR furnishings/equipment
QBI Deduction (\$199A)	Made permanent (was expiring end of 2025)	20% deduction on qualified business income through S-Corp
TCJA Individual Rates	Made permanent (7 brackets: 10%-37%)	35% federal bracket applies at this income level
Standard Deduction	\$16,100 single / \$32,200 MFJ for 2026	Increased from 2025; compare against itemized deductions
Child Tax Credit	Increased to \$2,200 per qualifying child	Not applicable — dependent is adult child in college

Key IRS Resources (Educational Reference)

- 1. IRS Publication 587 — Business Use of Your Home
- 2. IRS Publication 463 — Travel, Gift, and Car Expenses

3. IRS Publication 560 — Retirement Plans for Small Business (Solo 401k, SEP)
4. IRS Publication 969 — Health Savings Accounts (HSA)
5. IRS Publication 527 — Residential Rental Property
6. IRS Form 2553 — Election by a Small Business Corporation (S-Corp)

For educational reference only. Tax publications are updated annually — verify current versions with your CPA.

Wealth Strategy Snapshot | 2026 Tax Year Planning | Educational Analysis Only | Consult Licensed Professionals Before Implementation

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Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of April 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025 (including 100% bonus depreciation, \$40,000 SALT cap, expanded Section 179, and permanent TCJA rates). Verify current rules with your tax professional.

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